

AUDIT INVESTIGATION REPORT

Investigation No. INV-00062 | Type: Expense Audit

Investigation ID:	INV-00062
Investigation Type:	Expense Audit
Status:	COMPLETED
Trigger Source:	Automated anomaly detection alert
Lead Investigator:	Brandon Myers (EMP-16256)
Subject Employee:	Pamela Anderson (EMP-37423)
Related Vendor:	InnoCore Dynamics Ltd (VND-04363)
Related Transaction:	TXN-357148
Scope Period:	2022-03-13 to 2023-08-18
Created Date:	2023-06-19
Completed Date:	2023-09-28
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Which expense claims exceed the policy limit for the stated category?"

2. BACKGROUND

This investigation was initiated following a automated anomaly detection alert relating to activity associated with employee Pamela Anderson (EMP-37423) and vendor InnoCore Dynamics Ltd (VND-04363). The investigation scope covers the period 2022-03-13 to 2023-08-18 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-357148 (amount 2,376.95 USD, risk score 0.97). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-000426	MEDIUM	POLICY BREACH	Entertainment expense of \$72,973 submitted by EMP-19245 exceeds monthly policy allowance of \$25,000.
FND-001564	HIGH	POLICY BREACH	Claim EXP-181146 violates Policy POL-0012 section 4.2: Entertainment expenditure capped at \$100,000 per event.
FND-001965	MEDIUM	APPROVAL LIMIT	Escalation protocol was bypassed. Transaction valued at \$287,155 was approved at L1 without L3 countersignature.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a medium risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Matter escalated to the Risk Committee for executive review.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Brandon Myers	EMP-16256	2023-09-28